

The 6:15

TUESDAY · AUGUST 11, 2026

NO. 3

THE BOARD

CALENDAR — NEXT 10 DAYS

Tue Aug 11	CoreWeave (CRWV) earnings, aft. close — cons. EPS —\$1.21, rev \$2.56B
Wed Aug 12	July CPI, 8:30a; Cisco (CSCO) earnings, aft. close — cons. EPS \$1.17, rev \$16.83B
Thu Aug 13	July PPI; jobless claims; Applied Materials (AMAT), aft. close — cons. EPS ~\$3.36–3.39, rev ~\$9.0B
Fri Aug 14	July retail sales; UMich sentiment, prelim
Mon Aug 17	13-/26-wk T-bill auctions; 30-yr Treasury bond auction
Tue Sep 16	Next FOMC decision

Corrected: the 30-yr auction falls Mon 8/17, not Sun 8/17 as logged in the prior issue. OPEC+: 67th JMMC met 8/2 (past); 68th JMMC not until 10/4, outside this window. No elections fall in this window.

METRICS · ~6:00A ET AUG 11 UNLESS NOTED

Brent / WTI / spread	\$89.94 (+2.53%) / \$84.36 (+2.70%) / \$5.58 (CNBC quote, 4:30a ET)
UST 2y / 10y / 30y	4.26% / 4.74% / 5.28% (TradingEconomics, AM)
DXY	99.84 (+0.03%)
S&P / Nasdaq-100 futures	+0.1% / +0.4% (premarket)
VIX	15.46 (Mon cash close, Tue not yet available)
Gold (spot)	\$4,397.90 (+0.18%) — Kitco, 7:12p ET Mon
Nikkei / Hang Seng	66,887 +1.95% (Mon close; Tue not confirmed) / 25,937 +1.1% (Mon close)
DAX / FTSE / CAC	+0.1% / -0.1% / 8,726.03 +0.13% (Mon close)
Retail gas, natl. avg.	\$4.0091/gal (AAA, as of 8/10)

Brent/WTI intraday range confirms via oilprice.com front-month print (\$89.62/\$84.05, ~5-min-old refresh) — consistent with the CNBC quote above, not divergent.

HORMUZ COUNTERS

Closure	Day 163 (straits.live, 10:15 UTC 8/11)
Transits vs. baseline	2 vessels 8/2 vs. 73/day pre-crisis (PortWatch AIS, multi-day lag)
Weekly transits	84, wk 7/27–8/2, up 87% from 45 (Lloyd's List)
Non-Iranian-linked	52, up 86% from 28; ~25% via untracked Omani "dark" corridor (Lloyd's List)
Strikes (24h / running)	0 new / 2 struck + 1 attempt via Omani route since 8/1 (Lloyd's List, unchanged)
Dark tankers / stranded	36 AIS-dark, 24h / 238 holding off-berth (straits.live)
War-risk premium	30.0× pre-crisis; ~\$10.0M/VLCC passage — unchanged vs. Mon (straits.live)

PortWatch/AIS counts individual vessel movements with a multi-day lag; Lloyd's List aggregates weekly commercial transits >10,000 dwt with Iran-link attribution; straits.live blends broker war-risk quotes with dark-ship detection. Three different universes — don't average or net them against each other.

TRANSACTIONS

Yankees / Knicks / Northwestern	No reported roster moves in the last 24 hours (Josh Hart's extension window opened 8/10, unexercised)
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LEAD

HORMUZ · MINE-SWEEP CLAIM

Trump claims “100%” Navy control of Hormuz; Tehran says it’s still closed — and oil is jumping anyway.

President Trump told reporters in the Oval Office Monday that the U.S. Navy had swept the Strait of Hormuz clear of mines and now holds full operational control of the waterway — “the only one that has control of the Strait of Hormuz right now is the United States Navy,” he said, adding the U.S. controls it “100%.” Iran’s position, restated the same day by Foreign Ministry spokesman Esmail Baghaei, is the opposite: the strait stays closed to commercial shipping until Washington lifts its naval blockade of Iranian ports,

and Tehran has piled on more conditions — sanctions relief, a U.S. troop withdrawal from the region, release of frozen Iranian assets, and war-damage reparations. Two governments are now making flatly contradictory public claims about who controls a chokepoint that carried roughly a fifth of the world's seaborne oil before the Feb. 28 closure. The mismatch itself is the story: it signals negotiators are further from a shared floor than the “close” Oman-deal reporting from last week suggested. *(Fact: both governments' positions confirmed Monday. Read: the contradiction is the tell.)*

Trump escalated separately on reparations. After Iran's Supreme National Security Council reiterated its compensation demand, Trump posted on Truth Social that Tehran's own request gave him “an interesting idea” — have U.S. negotiators instead demand Iran pay for Americans “killed and gravely wounded” in Iran-linked attacks going back “50 years,” citing roadside bombings and, in his account, the 2000 USS Cole bombing, an attack U.S. investigators attributed to al-Qaeda at the time, not Iran. Treat the reframing as a negotiating maneuver to reset who owes whom rather than a serious legal claim — the substantive fact is that both sides are now trading reparations demands rather than narrowing them, which is itself evidence the technical Oman shipping-lane pact from 8/5 (60-day, fee-free, split northern/southern lanes) hasn't translated into political momentum toward reopening.

Oil is pricing the standoff as unresolved, not improving. Brent added 2.53% to \$89.94 and WTI 2.70% to \$84.36 (both ~4:30a ET, CNBC), extending a three-plus-day gain per Bloomberg's overnight wrap. That the “control” claim from the side whose navy would benefit from cheaper, freer-flowing crude is what's driving the price up rather than down tells you which claim the market is discounting

— traders are reading Trump’s statement as posture rather than fact on the ground, and continuing to price disruption risk over supply normalization. Prediction markets agree: straits.live puts the odds of reopening by 8/31 at 4%, unchanged from Monday, with year-end odds last tracked near 48%.

Equity markets are registering the same divergence, just more quietly. Energy majors are outperforming again — Exxon Mobil and Chevron trading near multi-year highs — while airline stocks are giving back ground as jet-fuel costs climb with crude, a split that’s recurred through this war. The S&P and Nasdaq are essentially flat to up overnight (see Board), which means index-level calm is masking a real rotation underneath it, not an absence of reaction.

Second-order: this is the first real test of new Supreme Leader Mojtaba Khamenei’s authority since a full military reshuffle he announced Sunday/Monday — six new commanders, including Hossein Taeb, a Khamenei loyalist and former intelligence chief, installed atop the Basij paramilitary. The decrees called for stronger deterrence, readiness for “powerful offensive operations,” and an expanded domestic intelligence footprint. Putting a loyalist atop the Basij — the internal-security-facing militia, not the naval apparatus that actually controls Hormuz — alongside offensive-operations language points toward consolidating control at home as much as posturing abroad: a leadership team built for a long war. That’s the frame markets are implicitly using to discount Trump’s “100%” claim.

The Fed angle carries over. The crude spike lands roughly 36 hours before Wednesday’s CPI print, the next real test of whether Fed Chair Kevin Warsh’s hawkish framing survives contact with the data. Warsh held rates steady at his first meeting but delivered a hawkish

shock — nine of 18 participants penciling in a 2026 hike, the statement's easing bias stripped out — and September hike odds have moved to roughly 60.5% on CME FedWatch, up from 38% a week ago. A sustained run-up in gasoline prices feeding through July CPI's transportation-fuel component would only add to that case, though the pass-through typically shows with a lag rather than immediately. (*Developing — CPI Wednesday is the swing data point.*)

POLITICS

The Senate left Washington Saturday for a five-week recess running until mid-September, capping a tense overnight session. Before leaving, it passed a bipartisan bill to avert an October government shutdown — the measure now moves to the House — and confirmed Todd Blanche as attorney general, 50-49. Practically: a shutdown fight is now pushed past the August recess and closer to (rather than colliding with) the September 16 FOMC date, removing one near-term fiscal-calendar risk investors had been tracking alongside Hormuz and CPI. The House still has to act on the funding measure before the current stopgap lapses; no confirmed timeline for that vote within this window. Worth flagging for the desk: with both chambers now largely out of session into September, any further U.S. response to the Hormuz standoff in the interim runs through the executive branch alone — there's no legislative check in motion that could move markets on short notice the way a floor vote could.

ECONOMICS

Wednesday's July CPI (BLS, 8:30a ET) is the week's swing data point — the report that determines whether Warsh's hawkish framing

holds or breaks. Consensus (Dow Jones survey) sees headline CPI up 3.4% year-over-year and core up 2.5% YoY, cooling from June's 2.6% — a continuation of the disinflation trend the July jobs report otherwise complicated. The setup: July payrolls fell 23,000 against a roughly +80,000 estimate, an outright contraction rather than a soft beat, which initially cut hike odds; oil's climb since (Brent +2.53% this morning alone, extending a three-day run) works the other direction by pushing up the transportation-fuel component investors will be watching inside Wednesday's print, though a further leg up in crude typically shows with a one-to-two-month lag rather than immediately. Retail gas sits at \$4.0091/gal nationally (AAA, 8/10) — down modestly from \$4.0121 a day earlier but still elevated versus pre-crisis norms. PPI follows Thursday alongside jobless claims; retail sales and preliminary UMich sentiment close the week Friday, the first hard read on whether consumers are pulling back given gas and grocery pass-through.

The curve is telling a two-speed story. 2s10s sits at 48bp (10Y 4.74% less 2Y 4.26%), little changed from Monday, while the 30-year at 5.28% carries the most term premium — consistent with the short end pricing Fed-meeting-by-meeting hike odds (CME FedWatch) while the long end tracks sustained inflation risk from oil more directly. Watch whether Wednesday's print moves the front end more than the back end; that split would tell you whether the market is repricing Warsh's reaction function or just the energy pass-through.

BUSINESS

Nvidia said Monday it has signed memorandums of understanding with six Wall Street firms — Apollo Global Management, Blackstone, BlackRock, Brookfield, Goldman Sachs and KKR — to

advance a \$500 billion financing plan for customers' AI-infrastructure buildouts. Read: this extends the debt-financed-AI-capex trend flagged in prior issues (Alphabet's \$25B bond deal, Amazon/Meta/Oracle's ~\$194B in IG issuance through July) a step further — instead of hyperscalers borrowing against their own balance sheets, Nvidia is trying to get asset managers to originate financing secured by the chips and contracts themselves, expanding the funding pool while shifting some credit risk onto private credit. MOUs are non-binding; watch for actual deal terms — the practical question is whether asset managers price this as infrastructure debt (long-duration, contract-backed) or as tech-cycle risk, since that determines the rate hyperscalers effectively pay for the next leg of capex.

CoreWeave reports Q2 today (Tue 8/11) after the close — consensus a loss of \$1.21/share on \$2.56B revenue (+111% YoY, Bloomberg). Investors are focused on whether its \$99.4B backlog and reportedly sold-out fleet capacity can outrun its debt load and margin compression (operating margin seen falling to roughly 2.86%) — the same supply-vs-financing tension Nvidia's MOUs are aimed at easing, which makes tonight's print a read-through for how the market prices that risk in practice, not just for CoreWeave's own stock.

Wednesday's other big print, Cisco, has options traders pricing an 8.21% post-earnings move — above its 7.75% average over the past four quarters — with the stock near \$121.43, implying a roughly \$111–\$131 range (TipRanks); consensus still calls for \$1.17 EPS (+18% YoY) on \$16.83B revenue. Applied Materials follows Thursday.

Elsewhere: TSMC's July revenue rose 44.7% YoY to NT\$467.58B (~\$14.5B), extending the AI-demand trend; General Motors is reportedly moving to sell its half of a \$3.5B EV-battery joint venture — a smaller signal of EV-capex pullback running alongside the AI-capex surge.

TECHNOLOGY

Microsoft is planning to “significantly” ramp production of its next-generation Maia AI chip — in talks with TSMC to secure capacity for more than 300,000 units for 2027 delivery, with the Maia 300 slated to be unveiled this fall. **(Single-sourced: Bloomberg, citing The Information.)** Paired with TSMC's July print, the read is that AI-chip demand is still outrunning supply commitments being made more than a year out, not just at Nvidia but across hyperscalers building their own silicon. Global semiconductor sales hit a record \$120.6B in May (+104.1% YoY per industry data), the 15th consecutive monthly record — evidence the cycle is broad-based rather than concentrated in any single vendor. The timing matters heading into hyperscaler capex updates: a 300,000-unit order booked more than a year out is the clearest signal yet that this cycle's binding constraint is manufacturing capacity, not customer demand — which is also why Nvidia's financing push (see Business) is a bigger deal than a typical vendor-financing announcement would be.

GEOPOLITICS

Mojtaba Khamenei's Sunday/Monday reshuffle was his first major military shake-up since succeeding his father, who was killed in the February U.S.-Israeli strike that opened this war. The six appointments: Ali Abdollahi as chief of staff of the armed forces; Ahmad Vahidi elevated to major general and named IRGC commander-in-chief; Kioumars Heydari as deputy chief of staff; Ali Azmaei to command the IRGC Navy; Mostafa Izadi as IRGC deputy commander-in-chief; and Hossein Taeb — a Khamenei loyalist and former intelligence chief — installed atop the Basij paramilitary network. The accompanying decrees called for stronger deterrence, readiness for “powerful offensive operations,” and an expanded domestic intelligence footprint.

The war is also testing alliances beyond the U.S.-Iran axis. Saudi Arabia, Pakistan and Turkey signed a defense pact in Mecca last week as Gulf states brace for what officials describe as possible multiple coordinated attacks by Iran-backed Houthi and Iraqi militia groups; Iran dismissed the pact as no guarantee of Saudi security. Separately, the UAE condemned a drone strike on its consulate in Iraq's Kurdistan region (material damage, no injuries) and has been briefing the UN and humanitarian agencies on the situation. Notably, the Joint Chiefs chairman has reportedly told colleagues privately that Washington needs to find a war off-ramp **(single-sourced)** — a contrast with Trump's public “100%”-control framing worth watching for daylight between the White House and the Pentagon. Separately, the Houthi claim of a Saturday strike on Saudi Aramco's Jazan refinery remains **single-sourced and unconfirmed independently** as of this issue.

IRAN & HORMUZ

The insurance market is where the crisis is becoming structural rather than episodic: six protection-and-indemnity (P&I) clubs have now withdrawn war-risk cover for Hormuz transits entirely, per straits.live's tracking, rather than merely repricing it — insurers exiting a market outright is a different signal than premiums moving within it. That's consistent with Kpler's standing observation (carried in prior issues) that war-risk premiums jump fast on attacks but decline slowly through calm stretches; full normalization requires sustained calm, not just an absence of new strikes, which is why yesterday's zero-new-strikes-in-24h reading hasn't moved the 30× premium multiple at all. Dark-tanker activity — 36 vessels AIS-dark in the past 24 hours per straits.live — is one channel operators are using to keep moving cargo without visible war-risk exposure, though by definition that traffic isn't captured in the transit counts above and carries its own sanctions and safety risk. None of this bears on the political dispute over who controls the strait (see Lead); it's a separate, slower-moving track that will likely lag any political resolution by weeks even if one arrives. For chartering desks, the practical read is that the \$10.0M-per-VLCC-passage cost isn't going to fall just because Washington declares the mines cleared — it falls only when insurers see enough consecutive calm days to re-underwrite the risk, and today's methodology block shows none of the three trackers is yet counting that streak.

SPORTS

Yankees	Lost to Braves 2-1 (10 inn., Sun 8/9). 64-51, 3rd AL East. Next: vs. Seattle, Tue 8/11.
Knicks	Off-season, no game.
Northwestern	Off-season, no game. Opener 9/5 vs. South Dakota State.

Continuity. Corrected the 30-yr Treasury auction date to Mon 8/17 (prior issue mislabeled it Sun 8/17). Dropped as unchanged since 8/10: Oman-Iran shipping-lane mechanics, Warsh/Fed confirmation backstory, war-powers vote details, AMD/Samsung/SK Hynix/Astera Labs specifics, Knicks championship background, war-toll/origin-story paragraph.

Unverified figures are marked in red. Nothing was estimated or filled from memory.